

Custody and priority

Custody of a distressed asset transfers at the point of assignment rather than at the point of notice, and claim priority is fixed by the earlier of those two events. Every downstream consumer reads priority off the artefact instead of recomputing it, so a routing change must never be able to alter it.

An originator, a servicer, a custodian and a claimant are the four participants. Each holds rights against a specific object rather than against another participant, which is what allows an obligation to be discharged without renegotiating the chain.